



529 Plans

A 529 plan is a tax-advantaged savings plan designed to encourage saving for certain educational costs. 529 plans, legally known as “qualified tuition plans,” are sponsored by states, state agencies, or educational institutions and are authorized by Section 529 of the Internal Revenue Code.

There are two types of 529 plans: prepaid tuition plans (<https://www.investor.gov/additional-resources/general-resources/glossary/prepaid-tuition-plans>) and education savings plans (<https://www.investor.gov/additional-resources/general-resources/glossary/college-savings-plan>) . All 50 states and the District of Columbia sponsor at least one type of 529 plan. In addition, a group of private colleges and universities sponsor a prepaid tuition plan.

The SEC does not regulate or oversee 529 Plans.

Learn more here (<https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-10-questions-consider-before>) *and here* (<https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-introduction-529-plans>) .